

ARDEN FLOW SYSTEMS LIMITED

Annual Report and Consolidated Financial Statements

For the fiscal year ended December 31, 2025

(All amounts in thousands of U.S. dollars)

Prepared in accordance with U.S. GAAP

Report of Independent Registered Public Accounting Firm

CONSOLIDATED STATEMENTS OF OPERATIONS

(in thousands of U.S. dollars)

	2025	2024	
Revenue	2,000,000	1,800,000	
Cost of goods sold	(1,200,000)	(1,080,000)	
Gross profit	800,000	720,000	
Operating expenses	(480,000)	(432,000)	
Operating income	320,000	288,000	
Interest expense	(24,000)	(26,000)	
Income before income taxes	296,000	262,000	
Income tax expense	(74,000)	(65,500)	
Net income	222,000	196,500	

CONSOLIDATED BALANCE SHEETS

(in thousands of U.S. dollars)

	2025	2024	
Cash and cash equivalents	180,000	164,000	
Accounts receivable, net	320,000	290,000	
Inventories	240,000	225,000	
Other current assets	40,000	36,000	
Property, plant and equipment, net	900,000	850,000	
Other non-current assets	60,000	55,000	
Total assets	1,740,000	1,620,000	
Accounts payable	200,000	185,000	
Other current liabilities	90,000	82,000	
Long-term debt	550,000	600,000	
Other non-current liabilities	70,000	65,000	
Total liabilities	910,000	932,000	
Common stock	100,000	100,000	
Retained earnings	730,000	588,000	
Total equity	830,000	688,000	

CONSOLIDATED STATEMENTS OF CASH FLOWS

(in thousands of U.S. dollars)

	2025	2024	
Net income	222,000	196,500	
Depreciation and amortization	120,000	110,000	
Changes in operating working capital	(26,000)	(18,000)	
Net cash provided by operating activities	316,000	288,500	
Purchases of property and equipment	(170,000)	(150,000)	
Net cash used in investing activities	(170,000)	(150,000)	
Repayments of long-term debt	(50,000)	(40,000)	
Dividends paid	(80,000)	(70,000)	
Net cash used in financing activities	(130,000)	(110,000)	
Net increase in cash	16,000	28,500	